

Clause 3: Terms and Definitions

Here are some of the most important terms and definitions.

Top management – An individual or group of individuals who coordinate and control an organization at the highest level. In cases when the scope of the management system covers just part of an organization, then top management refers to the individuals who direct and control that part of the organization.

Organization – A person or group of people who has their own functions with responsibilities, authorities, and relationships to achieve the objectives.

Context of the organization – A combination of internal and external factors that can have an effect on purpose, objectives, performance, and sustainability of the organization. Internal factors include values, culture, knowledge, and performance of the organization. External factors include legal, technological, competitive, market, cultural, social, and economic environment.

Interested party (stakeholder) – A person or organization that is involved in or perceives itself to be affected by activities and actions taken by the organization. Interested parties can be customers, suppliers, contractors, local community, government, etc.

Process – A sequence of activities that use inputs to deliver an intended result. For example, the production process has several steps that must be conducted in the appropriate sequence; inputs in this process are raw materials, product specifications, and work instructions, while the outputs are the product, quality check report, etc.

Procedure – A defined way to execute an activity or a process. Procedures can be documented or not.

Quality – Quality is the difference between a customer's expectations and the customer's perception of the product or service that he received – the higher the difference, the better perceived quality.

Nonconformity – The failure to meet a requirement.

Risk – Risk is the “effect of uncertainty on objectives,” and an effect is a positive or negative deviation from what is expected. For example, the company plans to deliver its products to the customers, but there is a risk of product nonconformity due to a poorly controlled production process.

Effectiveness – The level of success in achieving or producing a desired result. For example, the production process is effective if it is able to produce the products.

Documented information – Information required to be controlled and maintained by an organization, and the medium on which it is contained. For example, the documented policies, procedures, work instructions, and records represent documented information.

When you write your quality management system documentation, you don't have to use these exact terms. However, it does help to clarify the meaning and intention if you can define the terms you have used. Providing a glossary within your system documentation may be useful.